

long. Resigned, I plopped down in my chair and began to read. It is hard to describe what happened next, but over the course of the evening, my entire view of investing changed.

For two weeks I had stared at numbers, ratios, and formulas, but now I was reading about companies and the people who ran them. Buffett introduced me to the 80-year-old Rose Blumkin, an immigrant from Russia who was generating \$100 million in sales at Nebraska Furniture Mart. I became acquainted with Stan Lipsey, publisher of the *Buffalo News*, and Chuck Higgins at See's Candies, and learned about the economics of running a newspaper and the competitive advantages of a confectionery business. Buffett then discussed the operating results of Berkshire's insurance businesses, including the National Indemnity Company and the one-third interest in GEICO. But Buffett didn't just rattle off the numbers; he walked me through the nuances of the insurance business, including yearly premiums written, loss reserves, combined ratios, and the tax advantages of structured settlements. If that weren't enough, Buffett also gave shareholders an easy-to-understand tutorial on how a company's intrinsic value could exceed its book value by the magic of economic goodwill.

The next morning I walked back into the training program, changed. The *Value Line* sheets with their endless string of numbers were still there, but those numerical skeletons had suddenly grown muscle, skin, and purpose. In a word, the companies had come alive. Instead of seeing just numbers, I began to think about companies, the people who were running the businesses, and the products and services that ultimately generated the numbers that filled a spreadsheet.

When I entered production the following week, I was filled with a sense of purpose. There was no doubt in my mind what I was going to do. I was going to invest my clients' money in Berkshire Hathaway and in the stocks that Berkshire bought for its own portfolio. Each time Buffett would drop a breadcrumb, I would pick it up and buy it for my clients. If Buffett bought a stock, I would call the company, request its annual report, and study it intently, trying to figure out what he saw that others had missed. Before the advent of the Internet, you could send a check for \$25 to the Securities and Exchange Commission and it would photocopy any annual report you